

ECONOMY

LECTURES



LIBERALISATION & PRIVATISATION

MODULE - 10

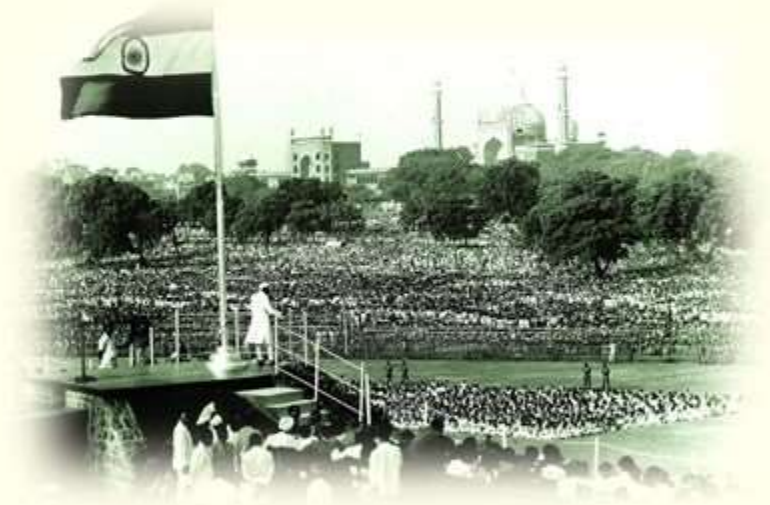
ECONOMY



LIBERALISATION



WHY INDIA WAITED TILL 1991 TO OPEN THE DOORS?



ONE SHOULD ALLOW A CHILD TO GROW UPTO 25
YEARS TO STAND ON HIS OWN

BHEL IN 1960s



NTPC IN 1970s





LIBERALISATION



WHY INDIA WAITED TILL 1991?



- 1 India after independence put barriers on foreign trade and investments as it was felt that it was considered necessary to protect the producers within the country from foreign competition
- 2 It was felt that imports would not have allowed these industries to come up.
- 3 Strict restrictions were imposed, except on essential items like petroleum products, capital goods and fertilizers etc.
- 4 This is in tune with the protection offered by the developed countries also, during their early stages of development



SITUATION DURING 1980s TILL 1991



- 1 There is a feeling that **mixed economy framework** followed since independence resulted in **establishment of variety of rules and laws**, which ultimately resulted in permit license raj
- 2 During 1990 / 1991, Government was not in a position to make repayments on its borrowings from abroad
- 3 The foreign exchange reserves (normal import cover is 10 months) were **not sufficient for even a fortnight period**
- 4 Government's expenditure was **much higher than revenue during 1980s** and the continued spending on development programmes did not generate additional revenue
- 5 Government **could not sufficiently generate from internal sources** such as taxation
- 6 Larger share has gone to areas like **social sector and defence**



SITUATION DURING 1980s TILL 1991



7 Inefficiency and lethargy in public sector undertakings

8 Money borrowed from foreign Governments / multilateral institutions was spent for meeting consumption needs of the Government

9 At one stage, there was not sufficient foreign exchange to pay the interest that needs to be paid to international lenders

10 India approached international financial institutions like IBRD, IMF for loan and while granting loan, the international agencies wanted India to liberalise and open up the economy by removing restrictions on the private sector and at the same time reduce the role of the government in many areas



This ultimately led to the New Economic Policy of 1991

GLOBALISATION & LIBERALISATION



USA



EU



The process of removing this barrier is **liberalization**

If the barrier is removed, it leads to **globalization**



CHINA



INDIA



TAIWAN

ECONOMY



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LIBERALISATION

1

FOREIGN
TRADE

2

FOREIGN
INVESTMENTS

EXPORTS /
IMPORTS

FPI
FDI



So many
restrictions



Gradually being
removed



So many
restrictions



Gradually being
removed

TILL
1991

FROM
1991

TILL
1991

FROM
1991

Trade barriers can be tariff barriers and non-tariff barriers

LIBERALISATION

NEW ECONOMIC POLICY 1991



- 1 Liberalisation was introduced to put an end to these restrictions and **open up various sectors of the economy**
- 2 There were some measures in 1980s in areas of **industrial licensing, export import policy, technology upgradation, fiscal policy and foreign investment**, but they were not sufficient
- 3 Under New Economic Policy 1991, major reforms were initiated, which were comprehensive

LIBERALISATION

NEW ECONOMIC POLICY 1991



1 INDUSTRIAL SECTOR REFORMS

2 FINANCIAL SECTOR REFORMS

3 TAX REFORMS

4 FOREIGN EXCHANGE REFORMS

5 TRADE AND INVESTMENT
POLICY REFORMS

LIBERALISATION

1 INDUSTRIAL SECTOR REFORMS

SCENARIO TILL 1991



- 1 Industrial licensing under which every businessman had to get permission from the Government officials to start a firm or close a firm
- 2 Government permission was also required to decide the amount of goods that could be produced
- 3 Private sector was not allowed in many industries
- 4 Some goods could be produced only in small scale industries
- 5 Government used to control prices and distribution of selected industrial products, which led to corruption

LIBERALISATION

1 INDUSTRIAL SECTOR REFORMS

SCENARIO SINCE 1991



- 1 Many of the **restrictions** as stated above were removed
- 2 Industrial licensing was abolished for almost all products **except alcohol, cigarettes, hazardous chemicals, industrial explosives, electronics, aerospace, drugs and pharmaceuticals**
- 3 Subsequent to 1991, only industries which were reserved for public sector were **defence equipment, atomic energy generation and railway transport**
- 4 Many goods produced by **Small Scale Industries** were **de-reserved**
- 5 In many industries, the **market** has been allowed to **determine the prices**



LIBERALISATION

2 FINANCIAL SECTOR REFORMS

PRIOR TO 1991



भारतीय स्टेट बैंक
State Bank of India

हर भारतीय का बैंक
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SINCE 1991



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LIBERALISATION

2 FINANCIAL SECTOR REFORMS

MAJOR REFORMS SINCE 1991



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- 1 RBI's role was transformed from **regulator** to **facilitator** of financial sector
- 2 Private sector banks, both **domestic** as well as **foreign** were established
- 3 Gradually **Foreign Direct Investment (FDI) limits** / **FPI limits** were increased in various sectors
- 4 Banks were given **permission** to generate **resources** from India and abroad
- 5 Several reforms were **brought in** insurance, money markets and capital markets etc.

FINANCIAL SECTOR REFORMS

MAJOR REFORMS SINCE 1991



Jiyo Bepikar





MINISTRY OF
FINANCE
GOVERNMENT OF INDIA

LIBERALISATION

3

TAX REFORMS

MAJOR REFORMS SINCE 1991



1

Since 1991, there has been a continuous reduction in the taxes on individual income

2

It was felt that high rates of income tax were important reason for tax evasion and hence, moderate tax rates in income tax as well as corporate tax are introduced

3

Many procedures have been simplified

4

Reforms have been introduced in indirect taxes and the most recent one is Goods and Services Tax (GST)

LIBERALISATION

4 FOREIGN EXCHANGE REFORMS



The crisis of 1991 and devaluation of rupee against foreign currencies was the starting point of foreign exchange reforms

LIBERALISATION

4 FOREIGN EXCHANGE REFORMS



The Foreign Exchange Management Act, 1999



सत्यमेव जयते



- 1 Rupee was **devalued** against foreign currencies
- 2 Devaluation of **rupee** was done basically to **increase exports** and ultimately to build up foreign exchange reserves
- 3 Devaluation led to **increase** in the inflow of **foreign exchange**
- 4 Subsequently, demand and supply of foreign exchange determined exchange rates and Government's intervention is quite minimal in this aspect. Rarely RBI intervenes, which is known as "**managed float**".

FOREIGN CURRENCIES



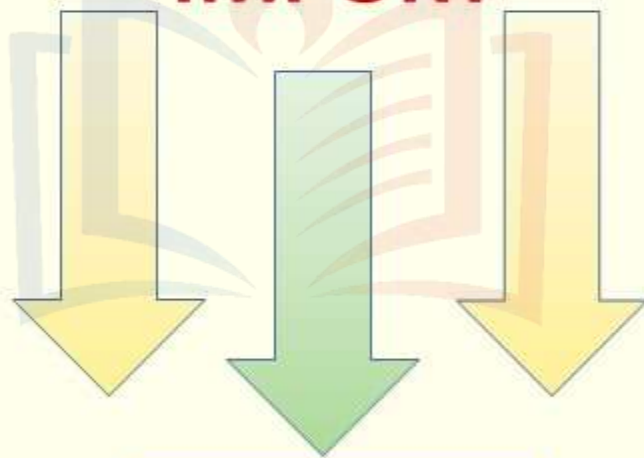


LIBERALISATION



5 TRADE AND INVESTMENT POLICY REFORMS

IMPORT



QUOTAS

- 1 Gradually **quantitative** restrictions on imports and **exports** were eased
- 2 Import **licensing** was abolished except in case of **hazardous** and environmentally sensitive industries
- 3 Quantitative restrictions on imports of **manufactured consumer goods** and **agricultural products** were also fully removed from April 2001
- 4 Export duties have been **removed** to increase the **competitiveness** of the **Indian goods** in the international markets
- 5 FDI / FPI are liberalised gradually.

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DISINVESTMENT

PRIVATISATION

MINORITY STAKE SALE

- Keeping majority control.
- Selling only minority stake say 5%, 10%.



STRATEGIC SALE

- Coming out of management control.
- Selling entirely or keeping minority stake with Govt.



ECONOMY



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PRIVATISATION

THERE ARE TWO WAYS

1

By withdrawal of the government of ownership and management i.e., coming out of majority control of public sector companies



2

By outright sale of public sector companies



PRIVATISATION



- 1 Most of the profitable undertakings were originally formed during 1950s and 1960s, when **self reliance was important element** of public policy
- 2 They were setup with the intention of **providing infrastructure and direct employment** to the public
- 3 Subsequently, Government gave more managerial and operational autonomy by declaring them as **Navaratnas, Miniratnas** etc. However, the privatisation of public sector enterprises could not take place on the desired lines and probably this is **one of the failures of the Government's New Economic Policy of 1991**

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